

M/s P.L. Cold Storage v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 5 July 2019 · WRIT - C No. 21468 of 2019 · **Writ disposed; restore supply on Rs.5 lakh deposit; EE to decide theft first.**

HEADNOTE

Clause 8.1 of the U.P. Electricity Supply Code, 2005 requires the authorised officer (Executive Engineer), after hearing, first to decide whether theft is established and only then to assess past consumption under the Annexure 6.3 formula. A second inspection reporting tampered pole-meter and check-meter seals does not let the High Court decide those questions. The writ is disposed of by directing objections to the Executive Engineer for a speaking order on both issues, with immediate restoration of supply on deposit of Rs.5 lakh pending that determination.

FACTUAL SUMMARY

The petitioner runs a cold storage storing farmers' potatoes and says it paid electricity charges as billed. Dakshinanchal Vidyut Vitran Nigam Limited inspected the premises on 14 June 2019 and recorded no discrepancy, but a second inspection the same day reported tampered seals on the pole meter and check meter, both in the licensee's custody. On 15 June 2019 the petitioner was assessed Rs.20,35,248 for alleged theft of energy. It denied theft and challenged the assessment.

REUSABLE CONSTRUCTIONS

1. Under clause 8.1 of the U.P. Electricity Supply Code, 2005, the authorised officer must first decide after hearing whether theft is established, and only then assess past consumption as per the Annexure 6.3 formula. ¶ 4
2. Pending the authorised officer's speaking order on theft and assessment under clause 8.1, supply may be restored on a deposit without waiting for the representation or final assessment. ¶ 5

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1

theft — decide establishment first, then assess; restoration pending speaking order

HOLDING

Whether the second inspection established theft and whether the Rs.20,35,248 assessment was justified are for the Executive Engineer under clause 8.1 of the U.P. Electricity Supply Code, 2005. Sub-clause (iv) provides that if after hearing the authorised officer finds theft established, he shall assess past consumption as per the formula in Annexure 6.3 — so he must first decide whether it is a case of theft and only then assess. The petitioner may file a representation within two weeks; the authorised officer shall consider both issues and pass a speaking order in accordance with law; on deposit of Rs.5 lakh within three days supply shall be restored immediately without waiting for that order or final assessment; and necessary documents shall be supplied to enable proper objections. ¶ 4-5

FLAG Court cited 'Sub clause iv of clause 8.1' for the after-hearing theft finding and Annexure 6.3 assessment. Catalog lists the hearing/assessment machinery under 8.1(b); Annexure 6.3 is not clause 6.3.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE INSPECTIONS AND ALLEGED SEAL-TAMPERING ESTABLISHED THEFT OF ELECTRICITY

Left to the Executive Engineer under clause 8.1. ¶ 4

NOT DECIDED — WHETHER THE PETITIONER WAS RIGHTLY ASSESSED RS.20,35,248 FOR THEFT OF ENERGY

Left to the authorised officer after first deciding whether theft is established. ¶ 4

